

Question 3 :

Following are the Balance Sheet as on 31st December 2014 & 2015 of M/s.

Amisha Ltd.

Liabilities	2014	2015	Assets	2014	2015
Share Capital	10,000	15,000	Leasehold Premises	8,000	7,500
Securities Premium	6,000	1,000	Plant & Machinery	4,200	8,500
Profit and Loss A/c.	500	3,000	Furniture & Fixture	900	800
Bank Overdraft	-	6,500	Investments	600	1,200
Mortgage Loan	-	4,000	Debtors	2,750	9,450
(Secured on Plant)			Stock	4,650	7,725
Provision for Tax	1,000	1,500	Bank Balance	200	725
Outstanding Expens	3,000	2,000	Preliminary Expenses	400	300
Bills Payable	1,200	3,200			
	21,700	36,200		21,700	36,200

You are required to prepare

A + B + C	18,00,000	24,00,000	6,00,000	33.33%
------------------	-----------	-----------	----------	--------

Question : 2

From the following balance sheet of Ram Ltd. as at 31st March 2014 and 31st March 2015, prepare Comparative Balance Sheet

Liabilities	31/3/13	31/3/14	Assets	31/3/2013	31/3/2014
Equity Share Capital	1,20,000	1,60,000	Land and Build	1,00,000	1,50,000
Prefer Share Capital	60,000	95,000	Plant and Mach	40,000	45,000
<u>Reserves and Surplus</u>	30,000	35,000	Stock	60,000	82,000
Profit and Loss A/c	18,000	20,000	Debtors	40,000	45,000
Bank O/D	25,000	45,000	Bills Receivable	10,000	30,000
Creditors	25,000	30,000	Prepaid Exp.	6,000	8,000
Provision for Tax	15,000	22,500	Cash at Bank	40,000	58,500
Proposed Dividend	8,000	20,000	Cash in Hand	5,000	9,000
Total	3,01,000	4,27,500	Total	3,01,000	4,27,500

$$\% \text{ of increase / decrease} = \frac{\text{Difference in Amount}}{\text{Amount of base year}} \times 100$$

SOLVED PROBLEMS

Question : 1

From the following Balance sheet of WHY Limited as on 31st March 2016 and 31st March 2015, prepare comparative Balance Sheets

Liabilities	31/3/15	31/3/16	Assets	31/3/2015	31/3/2016
Equity Share Capital	6,00,000	9,00,000	Fixed Assets	12,00,000	15,00,000
Prefer Share Capital	3,00,000	6,00,000	Investment	3,00,000	2,00,000
Reserves and Surplus	3,00,000	4,00,000	Current Assets	5,00,000	11,00,000
Debentures	6,00,000	5,00,000			
Current Liabilities	2,00,000	4,00,000			
Total	20,00,000	28,00,000	Total	20,00,000	28,00,000

Capital Employed (1 + 2)

13,75,000	15,69,000	14.11
-----------	-----------	-------

Illustration 12 : (From Horizontal BS)

Following are the Summarised Balance Sheets of M/s. Jitendra Ltd. Prepare Comparative Balance Sheet in vertical form.

36000 x 100
60,000

Balance Sheets as on 31st March

Liabilities	2016 ₹	2017 ₹	Assets	2016 ₹	2017 ₹
Share Capital	1,75,000	2,00,000	Fixed Assets	2,45,000	3,25,000
General Reserve	50,000	50,000	Investments	25,000	40,000
8% Debentures	75,000	1,25,000	Current Assets	75,000	25,000
Current Liabilities	50,000	25,000	Preliminary Expenses	5,000	10,000
	3,50,000	4,00,000		3,50,000	4,00,000

Solution :

(T.Y.B.Com., Mar. 2013, adapted)

M/s. Jitendra Ltd.

Comparative Balance Sheet

No.	Particulars	2016	2017	Absolute Increase	Percentage Increase

- (i) Current Assets
(ii) Current Liabilities

Working Capital (i - ii)

APPLICATION OF FUNDS (B) (a + b + c)

30,000	15,000	(15,000)
20,000	25,000	5,000
90,000	1,20,000	30,000

Illustration 11 : (From Horizontal BS)

Following are the summary Balance Sheets of M/s. Raj Ltd., as on 31st March, 2016

Balance Sheet as at 31st March

Liabilities	2016 ₹	2017 ₹	Assets	2016 ₹
Share Capital	9,25,000	9,75,000	Fixed Assets	9,50,000
General Reserve	2,50,000	3,50,000	Investment	2,25,000
Current Liabilities	2,50,000	3,31,000	Current Assets	4,50,000
13% Debentures	2,00,000	2,44,000		
	<u>16,25,000</u>	<u>19,00,000</u>		<u>16,25,000</u>

8.7.1 Balance Sheet

(comparative).

Following is the summarised financial position of Jayesh Ltd. as at 31st March.

Liabilities	2016	2017	Assets	2016	2017
	₹	₹		₹	₹
Share Capital	50,000	80,000	Fixed Assets	60,000	75,000
Reserves and Surplus	15,000	20,000	Investment	10,000	20,000
12% Debentures	30,000	24,000	Current Assets	50,000	40,000
Current Liabilities	30,000	15,000	Miscellaneous Expenditure	5,000	4,000
	<u>1,25,000</u>	<u>1,39,000</u>		<u>1,25,000</u>	<u>1,39,000</u>

From the above information prepare Comparative Balance Sheet in vertical form. Do not write comments.

(T.Y.B.Com., Oct. 2011, adapted)

JAYESH LTD.

Current year value

Comparative Balance Sheet

Particulars	As on 2016	As on 2017	Absolute Increase/ Decrease ₹	% Increase/ Decrease
	₹	₹	₹	

Accounting For Managerial Decisions (SYBMS : SEM-III)

11.	Less: Interest on debentures		0	0.00
12.	Net Profit after Interest	1,50,000	1,50,000	(23.37)
	Non-operating Income	11,04,000	8,46,000	
	Dividends on shares			225.00
	Profit on sale of Machinery	12,000	39,000	(100.00)
		24,000	0	
	Non-operating Income	36,000	39,000	8.33
	Less: Non-operating Expenses			
	Loss by Fire	0	15,000	NA
13.	Net Non-operating Income	36,000	24,000	(33.33)
14.	Net Profit before Tax	11,40,000	8,70,000	(23.68)
15.	Less : Income Tax	5,70,000	4,35,000	(23.68)
16.	Net Profit after Tax	5,70,000	4,35,000	(23.68)

8. Profit Before Tax	35,000	43,000	8,000	22.86
9. Less : Income Tax	5,000	10,000	5,000	100.00
10. Net Profit After Tax	30,000	33,000	3,000	100.00

Illustration 14 : (From Horizontal P & L A/c)

Prepare a Comparative Revenue Statement in Vertical Form from the following details :

Nilkamal Ltd.

Profit & Loss A/c for the year ended 31st March

Particulars	2016 ₹	2017 ₹	Particulars	2016 ₹	2017 ₹
To Opening Stock	2,25,000	3,00,000	By Sales	45,00,000	60,00,000
To Purchases	22,50,000	32,10,000	By Closing Stock	3,00,000	3,60,000
To Interest on Debenture	1,50,000	1,50,000	By Dividend	12,000	39,000
To Depreciation :			By Profit on Sale of Machinery	24,000	
• Furniture	15,000	15,000			
• Machinery	36,000	30,000			
To Administrative Exp.	2,94,000	4,41,000			
To Selling Expenses	4,56,000	7,53,000			
To Carriage Outward	75,000	3,15,000			
To Loss by Fire	-	15,000			
To Wages	1,95,000	3,00,000			
To Provision for Tax	5,70,000	4,35,000			
To Net Profit	5,70,000	4,35,000			
	48,36,000	63,99,000		48,36,000	63,99,000

Solution :

(T.Y.B.Com., Oct. 08, adapted)

COMPARATIVE VERTICAL REVENUE STATEMENT

Particulars	2016 ₹	2017 ₹	Absolute Increase or Decrease ₹	Percentage Increase or Decrease %
1. Sales	45,00,000	60,00,000	15,00,000	33.33
2. Raw Materials Consumed				
Opening Stock	2,25,000	3,00,000	75,000	33.33
Purchases	22,50,000	32,10,000	9,60,000	42.67
	24,75,000	35,10,000	10,35,000	41.82
Less: Closing Stock	3,00,000	3,60,000	60,000	20.00
	21,75,000	31,50,000	9,75,000	44.83
3. Wages	1,95,000	3,00,000	1,05,000	53.85
4. Factory Expenses				
Depreciation on Machinery	36,000	30,000	(6,000)	(16.67)
	24,06,000	34,80,000	10,74,000	44.64
5. Cost of Goods sold [2 + 3 + 4]	20,94,000	25,20,000	4,26,000	20.34
6. Gross Profit [1 - 5]				
7. Administration Expenses				
Depreciation - Furniture	15,000	15,000	0	0.00
Other Administration Expenses	2,94,000	4,41,000	1,47,000	50.00
	3,09,000	4,56,000	1,47,000	47.57
8. Selling & Distr. Expenses				
Carriage Outward	75,000	3,15,000	2,40,000	320.00
Selling Expenses	4,56,000	7,53,000	2,97,000	65.13
	5,31,000	10,68,000	5,37,000	101.13
9. Total Operating Expenses [7 + 8]	8,40,000	15,24,000	6,84,000	81.43
10. Operating Profit [6 - 9]	12,54,000	9,96,000	(2,58,000)	(20.57)

2. Loan Funds
8% Debentures
3. Capital Employed
- II. APPLICATION OF FUNDS
1. Fixed Assets
2. Working Capital
- A. Current Assets
- B. Less : Current Liabilities
- Working Capital (A - B)
3. Capital Employed

2,20,000	2,40,000	20,000	9.09
75,000	1,25,000	50,000	66.67
2,95,000	3,65,000	70,000	23.73
2,45,000	3,25,000	80,000	32.65
25,000	40,000	15,000	60.00
75,000	25,000	(50,000)	(66.67)
50,000	25,000	(25,000)	(50.00)
25,000	Nil	(25,000)	(100.00)
2,95,000	3,65,000	70,000	23.73

8.7.2 Profit & Loss

Illustration 13 : (From Horizontal P & L)

Following are the Profit and Loss Accounts of M/s Prajakta Enterprises for the years ended 31st March 2016 and 2017.

Profit & Loss Account for the year ended 31st March 2016 and 2017

Particulars	2016 ₹	2017 ₹	Particulars	2016 ₹	2017 ₹
To Cost of sales	2,00,000	3,00,000	By Sales	3,00,000	4,00,000
To Salaries	20,000	20,000	By Interest	10,000	20,000
To Office Rent	10,000	15,000			
To Advertisement Expenses	30,000	12,000			
To Travelling Expenses	15,000	30,000			
To Income Tax	5,000	10,000			
To Net Profit c/d	30,000	33,000			
Total	3,10,000	4,20,000	Total	3,10,000	4,20,000

Prepare a comparative Income statement from the above, in vertical form.

(T.Y.B.Com., Oct. 2013, adapted)

Solution :

In the Books of Prajakta Enterprises Comparative Income Statement

Particulars	2016 ₹	2017 ₹	Increase/ (Decrease) ₹	% Increase (Decrease) %
1. Net Sales	3,00,000	4,00,000	1,00,000	33.33
2. Less : Cost of Goods Sold	2,00,000	3,00,000	1,00,000	50.00
3. Gross Profit	1,00,000	1,00,000	0	0.00
4. Less : Operating Expenses				
I. Office & Administrative Expenses				
Salaries	20,000	20,000	0	0.00
Office Rent	10,000	15,000	5,000	50.00
	30,000	35,000	5,000	16.67
II. Selling & Distribution Expenses				
Advertisement Expenses	30,000	12,000	(18,000)	(60.00)
Travelling Expenses	15,000	30,000	15,000	100.00
	45,000	42,000	(3,000)	(6.67)
5. Total Operating Expenses (I + II)	75,000	77,000	2,000	2.67
Operating Profit	25,000	23,000	(2,000)	(8.00)
Add : Non-Operating Income Interest	10,000	20,000	10,000	100.00

Question : 8

The following statements illustrate the comparative financial statements :

Green Limited

Profit and Loss account for the year ended 31st March, 2014 & 2015

	31.12.15 ₹	31.12.16 ₹		31.12.15 ₹	31.12.16 ₹
To Opening Stock	4,000	6,000	By Sales	30,000	50,000
To <u>Purchases</u>	15,000	40,000	By Closing	6,000	15,000
To <u>Wages</u>	5,000	8,000	<u>stock</u>		
To <u>Factory Expenses</u>	4,000	5,000			
To Gross Profit c/d	8,000	6,000			
	36,000	65,000		36,000	65,000
To Office Expenses	900	1,100	By G.P. b/d	8,000	6,000
To Selling and			By Interest on	600	700
Distribution Exp.	1,650	1,150	Investment		
To Finance Expenses	400	200			
To Provision for Tax	1,500	1,200			
To Net Profit	4,150	3,050			
	8,600	6,700		8,600	6,700

Balance Sheet of Green Limited as on 31st March, 2015 & 2016

Liabilities	31-3-15 ₹	31-3-16 ₹	Assets	31-3-15 ₹	31-3-16 ₹
Share Capital :			Fixed Assets	25,000	40,000
Equity share Capital	30,000	30,000	Less: Depreciation	<u>3,350</u>	<u>4,000</u>
Prefere. Share Capital	—	20,000		21,650	36,000
Reserves	5,000	7,500	5% Govt. Sec(at cost)	6,000	7,000
P & L A/c.	3,000	4,000	Current Assets :		
8% Debentures	5,000	2,500	Inventory	6,000	15,000
Bank Loan	—	10,000	Debtors	5,450	6,200
Creditors	1,600	2,500	Bank	2,500	8,500
Provision for Tax	1,500	1,200	Cash	4,500	5,000
	46,100	77,700		46,100	77,700

Solution

Balance Sheet as on 31st December

Liabilities	2014	2015	Assets	2014	2015
Share Capital			Fixed Assets	5,000	8,000
Equity Share Capital	6,000	6,000	Less: Depreciation	670	800
Prefer Share Capital	-	4,000		4,330	7,200
General Reserve	1,375	1,720	Investment (at cost)	500	803
8% Debentures	1,000	500	Current Assets		
Bank Loan	-	2,000	Stocks	1,200	3,000
Bills Payable	330	503	Debtors	2,000	2,390
Prov. for Taxation	300	240	Bank Balance	800	1,470
			Interest Accrued on Investment	175	100
	9,005	14,963		9,005	14,963

Solution :

Books Of Suhana Ltd.

End 31st Dec. 14 & 15Balance Sheet as on 31st December

Liabilities	2014	2015	Assets	2014	2015
Share Capital			Fixed Assets	5,000	8,000
Equity Share Capital	6,000	6,000	Less: Depreciation	670	800
Prefer Share Capital	-	4,000		4,330	7,200
General Reserve	1,375	1,720	Investment (at cost)	500	803
8% Debentures	1,000	500	Current Assets		
Bank Loan	-	2,000	Stocks	1,200	3,000
Bills Payable	330	503	Debtors	2,000	2,390
Prov. for Taxation	300	240	Bank Balance	800	1,470
			Interest Accrued on Investment	175	100
	9,005	14,963		9,005	14,963

Solution :

Ltd. for the year 2014 and 2015 you are required to prepare a comparative Income Statement and a comparative Balance Sheet.

Profit & Loss Account for the year ended 31st December

Particulars	2014	2015	Particulars	2014	2015
To Opening Stock	800	1,200	By Sales	6,000	10,000
To Purchases	3,000	8,000	By Closing Stock	1,200	3,000
To Labour Charges	1,000	1,600			
To Factory Exp.	800	1,000			
To Gross Profit c/d	1,600	1,200			
	7,200	13,000		7,200	13,000
To Salaries	300	200	By Gross Profit b/d	1,600	1,200
To Rent and Rates	80	100	By Profit on sale of		
To Carriage Outward	120	100	Investments	15	15
To Delivery Expenses	60	30			
To Advertisement	150	100			
To Interest	80	40			
To Bad Debts	10	10			
To Depreciation	130	130			
To Prov. for Taxation	300	240			
To Net Profit transferred					
to General Reserve	385	275			
	1,615	1,215		1,615	1,215

Part

Net sales

Less : Cost of Opening stock

Add : Purchase

Add : Labour

Add : Factory

Less : Closing

Cost of Goods

Gross Profit

Less : Oper

(A) Office

Salaries

Rent & sales

Depreciation

(B) Selling

Expenses

Carriage out

Delivery Ex

Advertisem

Question 4 :

From the following data prepare comparative Balance Sheets in Vertical form at 31-03-2015 & 2016 of M/s Sunidhi Ltd.

Balance Sheet as at 31st March,

Liabilities	2015	2016	Assets	2015	2016
Share Capital	70,003	80,003	Building	55,003	80,003
Reserve & Surplus	20,003	20,003	Land	43,003	50,003
Debentures	20,003	30,003	Stock	25,003	5,003
Other Secured Loan	10,003	20,003	Debtors	15,003	10,003
Bank Overdraft	20,003	10,003	Preliminary Expen.	2,003	15,003
	1,40,015	1,60,015		1,40,015	1,60,015

Question : 2

From the following balance sheet of Ram Ltd. as at 31st March 2014 and 31st March 2015, prepare Comparative Balance Sheet

Liabilities	31/3/13	31/3/14	Assets	31/3/2013	31/3/2014
Equity Share Capital	1,20,000	1,60,000	Land and Build	1,00,000	1,50,000
Prefere Share Capital	60,000	95,000	Plant and Mach	40,000	45,000
<u>Reserves and Surplus</u>	30,000	35,000	Stock	60,000	82,000
Profit and Loss A/c	18,000	20,000	Debtors	40,000	45,000
Bank O/D	25,000	45,000	Bills Receivable	10,000	30,000
Creditors	25,000	30,000	Prepaid Exp.	6,000	8,000
Provision for Tax	15,000	22,500	Cash at Bank	40,000	58,500
Proposed Dividend	8,000	20,000	Cash in Hand	5,000	9,000
Total	3,01,000	4,27,500	Total	3,01,000	4,27,500